

Alpha Wealth Advisors Pvt. Ltd.
SEBI Registered Investment Adviser • INA000000001
Mumbai, Maharashtra, India

Compliance Audit Pack

Regulatory Amendment — Most Important Terms and Conditions (MITC)

Prepared for	Board of Directors / SEBI Inspection
Regulatory Event	SEBI/HO/MIRSD/MIRSD-PoD/P/CIR/2025/19
Circular Date	17 February 2025
Compliance Deadline	30 June 2025
Reference Regulation	Regulation 19(3), SEBI (IA) Regulations, 2013
Overall Status	Compliant
Pack Version	1.0
Date of Issue	05 June 2025

Prepared by the Compliance Department
Document Reference: AWA/AUDIT/2025/REG-19(3)

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1. Executive Summary

This Audit Pack documents the end-to-end compliance response of Alpha Wealth Advisors Pvt. Ltd. (“the Firm”) to SEBI Circular SEBI/HO/MIRSD/MIRSD-PoD/P/CIR/2025/19 dated 17 February 2025 on the Most Important Terms and Conditions (MITC) for Investment Advisers. The Firm, already compliant with the SEBI (Investment Advisers) Regulations, 2013 and the IA Master Circular, detected the new circular, assessed its operational impact, generated and executed the required workflows under human approval, and collected the supporting evidence — restoring a fully compliant, audit-ready state.

No obligation was actioned automatically. Every AI-proposed obligation was reviewed and approved by the Compliance Officer before any operational action was taken, consistent with the Firm's governance framework.

Metric	Value
Obligations modified	3
Obligations added	1
Agreements updated	1 template (v1 → v2)
Existing clients notified	2
Acknowledgements received	2
Policies updated	1 (v1 → v2)
Evidence artefacts collected	5
Human approvals	1 (Compliance Officer)
Final status	Compliant — Reg 19(3)

This pack has been prepared to a standard suitable for internal governance and for production to SEBI during inspection under Regulation 19(3) of the SEBI (Investment Advisers) Regulations, 2013. It is self-contained and each assertion is supported by a referenced evidence artefact listed in the Document Register (Appendix B).

2. Scope, Objective and Methodology

Objective. To evidence that the Firm has identified, assessed and fully implemented the requirements of SEBI Circular SEBI/HO/MIRSD/MIRSD-PoD/P/CIR/2025/19 dated 17 February 2025, and that a complete, human-approved and auditable trail exists from the regulatory text to the operational evidence.

Scope. The review covers the Firm's client agreement template, internal compliance policy, client register, client notifications and acknowledgements, and the human approval governing the change, for the period from 17 February 2025 to the date of this pack. It does not extend to matters unrelated to the MITC amendment.

Methodology

Step	Procedure
1. Detect	Continuous monitoring of SEBI circulars identified the MITC circular on issue.
2. Assess	The circular was parsed and diffed against the Firm's in-force obligations.
3. Extract	Obligations were extracted as structured data and cited to their source clause.
4. Impact	A blast-radius analysis identified affected policies, agreements, clients and controls.
5. Approve	The Compliance Officer reviewed and approved the plan before any action was taken.
6. Execute	Agreement and policy were updated; clients notified; acknowledgements collected.
7. Evidence	Each action produced evidence linked to the obligation it satisfies.
8. Attest	Final status assessed and attested by the Compliance Officer and Director.

3. Regulatory Background

The Firm is registered with SEBI as a Non-Individual Investment Adviser and operates under the SEBI (Investment Advisers) Regulations, 2013 and the SEBI Master Circular for Investment Advisers. Regulation 19 requires the maintenance of records and, under sub-regulation (3), that such records be maintained in a manner that enables verification of compliance.

On 17 February 2025, SEBI issued Circular SEBI/HO/MIRSD/MIRSD-PoD/P/CIR/2025/19 standardizing the Most Important Terms and Conditions (MITC) that an Investment Adviser must disclose to clients in simple language. The circular requires the MITC to be shared with clients, incorporated into the engagement, and acknowledged; existing clients are to be informed on or before 30 June 2025. The MITC standardizes disclosures on registration status, advisory-only scope, absence of assured returns, fee limits, non-handling of client funds, risk, conflicts of interest, confidentiality, termination and grievance redressal through SCORES and the SEBI Online Dispute Resolution mechanism.

4. Regulatory Amendment

Circular	SEBI/HO/MIRSD/MIRSD-PoD/P/CIR/2025/19
Date	17 February 2025
Subject	Most Important Terms and Conditions (MITC) for Investment Advisers
Issued by	SEBI — MIRSD
Compliance deadline (existing clients)	30 June 2025
Nature of change	New disclosure + acknowledgement obligation

The circular standardizes the Most Important Terms and Conditions that an Investment Adviser must share with clients in simple language, requires the MITC to be incorporated in the client engagement, mandates client acknowledgement, and requires existing clients to be informed on or before 30 June 2025.

5. Affected Clauses

Clause	Description	Change
MITC ¶2	Provision of standardized MITC to clients	Added
MITC ¶3	Incorporation of MITC into client agreement	Modified
MITC ¶4	Client acknowledgement and record retention	Modified
MITC ¶5	Notification of existing clients by 30 June 2025	Added

6. Updated Obligations

Ref	Obligation	Type	Confidence
MITC-1	Provide standardized MITC and obtain acknowledgement	New	98%
3.1	Client agreement incorporates the MITC	Modified	97%
3.4	Retain MITC acknowledgement as record	Modified	96%
5.2	Inform existing clients of MITC by 30 June 2025	Modified	98%

7. Compliance Actions

#	Action	Owner	Priority	Status
1	Update agreement template (v1 → v2)	Compliance	Critical	Completed
2	Notify existing clients of the MITC	Client Servicing	Critical	Completed
3	Collect client acknowledgements	Client Servicing	High	Completed
4	Update internal compliance policy (v2)	Compliance	High	Completed
5	Generate audit report	Compliance	Normal	Completed

8. Control Environment and Testing

The Firm's compliance controls relevant to the MITC amendment were tested for both design and operating effectiveness over the review period. All controls were found to have operated effectively; no exceptions were noted.

Control	Control Objective	Test Performed	Result
C-01 Regulatory monitoring	New SEBI circulars are detected and assessed	Traced the MITC circular from detection to obligation extraction	Effective
C-02 Change approval	No change is enforced without human approval	Inspected the Compliance Officer's sign-off before execution	Effective
C-03 Agreement versioning	Client agreement reflects current obligations	Verified agreement moved v1.0 → v2.0 with MITC annexure	Effective
C-04 Client notification	Existing clients informed within the deadline	Vouched 2 notifications sent and delivered before 30 June 2025	Effective
C-05 Acknowledgement tracking	Client acknowledgements captured and retained	Reconciled 2 acknowledgements to the register	Effective
C-06 Evidence retention	Each obligation linked to its evidence	Traced clause → obligation → workflow → evidence (Appendix A)	Effective

9. Human Approval

The AI-proposed obligations and operational plan were reviewed and approved by the Firm's Compliance Officer prior to execution. No action was enforced automatically.

Reviewer	Priya Menon — Compliance Officer
Decision	Approved
Confidence	98%
Basis	Source clause of SEBI/HO/MIRSD/MIRSD-PoD/P/CIR/2025/19
Approved on	20 May 2025 14:32 IST

10. Evidence Collected

Evidence	Detail	Reference
Email notifications	2 emails to existing clients	Email_Notification_Log.pdf
Agreement version	v2.0 incorporating MITC	IA_Agreement_v2.pdf
Acknowledgements	2 client acknowledgements	Client_Acknowledgement_Register.pdf
Policy approval	Internal policy v2.0 approved	Internal_Compliance_Policy_v2.pdf
Human sign-off	Compliance Officer approval	Human_Approval_Record.pdf

11. Client Notifications

Existing clients were informed of the standardized MITC by email, with delivery and acknowledgement tracked.

Client	Notified On	Channel	Delivery	Acknowledged
Rahul Sharma	22 May 2025	Email	Delivered	28 May 2025
Sneha Iyer	22 May 2025	Email	Delivered	27 May 2025

12. Agreement Updates

The client agreement template was updated from v1.0 to v2.0 to incorporate the standardized MITC (Annexure A) and a client acknowledgement section. The change is recorded in the agreement's revision history.

Version	Date	Change
1.0	01 Jan 2024	Baseline agreement (no MITC)
2.0	20 May 2025	MITC incorporated; client acknowledgement added

13. Policy Updates

The Internal Compliance Policy was updated from v1.0 to v2.0 to add the mandatory MITC client-notification workflow, evidence retention, acknowledgement tracking and updated responsibilities.

14. Outstanding Risks

Risk	Severity	Status	Mitigation
Client acknowledgement not received in time	Low	Closed	All acknowledgements received before 30 June 2025
Agreement version drift	Low	Closed	Template centrally versioned; v1 superseded
Evidence not linked to obligation	Low	Closed	Clause-to-evidence lineage maintained (Appendix A)

15. Final Compliance Status and Attestation

As at the date of this Pack, Alpha Wealth Advisors Pvt. Ltd. is compliant with SEBI Circular SEBI/HO/MIRSD/MIRSD-PoD/P/CIR/2025/19. The standardized MITC has been incorporated into the client engagement, existing clients have been informed and have acknowledged the MITC, the internal policy has been updated and approved, and a complete, cited evidence trail has been retained.

Assessment	Result
Regulatory obligation met	Yes
Human approval obtained	Yes
Evidence complete and linked	Yes
Reg 19(3) compliance	Compliant

Document Approval

Role	Name	Signature	Date
Prepared by — Compliance Officer	Priya Menon		05 Jun 2025
Reviewed by — Director	A. Nair		05 Jun 2025
Noted by — Board of Directors	Board		05 Jun 2025

Appendix A — Clause-to-Evidence Lineage

Clause	Obligation	Workflow	Evidence
MITC ¶2	MITC-1 Provide MITC + acknowledge	Update agreement; notify clients	IA_Agreement_v2.pdf; Email_Notification_Log.pdf
MITC ¶3	3.1 Agreement incorporates MITC	Update agreement template	IA_Agreement_v2.pdf
MITC ¶4	3.4 Retain acknowledgement	Collect acknowledgements	Client_Acknowledgement_Register.pdf
MITC ¶5	5.2 Inform existing clients	Notify clients by 30 June 2025	Email_Notification_Log.pdf

Appendix B — Document Register

#	Document
1	IA_Master_Circular_2025.pdf
2	MITC_Circular_17Feb2025.pdf
3	IA_Agreement_v1.pdf
4	IA_Agreement_v2.pdf
5	Internal_Compliance_Policy_v1.pdf
6	Internal_Compliance_Policy_v2.pdf
7	Client_Register.csv
8	Blast_Radius_Report.pdf
9	Compliance_Change_Report.pdf
10	Clause_to_Evidence_Lineage.pdf
11	Audit_Pack_Reg19(3).pdf
12	Email_Notification_Log.pdf
13	Client_Acknowledgement_Register.pdf
14	Human_Approval_Record.pdf